

John Cockerill India Ltd

NSE: COCKERILL | BSE: 500147 | Capital Goods / Industrial Equipment

CMP (15 Jun 2026)	Rs. 9,745	52-Wk High	Rs. 10,872
Market Cap	Rs. 4,812 Cr	52-Wk Low	Rs. 3,150
Face Value	Rs. 10	Shares Outstanding	49.38 Lakh
P/E (Standalone)	175x	Book Value	Rs. 426
ROCE	11.1%	ROE	8.86%
Promoter Holding	70.44%	Pledge	Nil

RATING	12M TARGET	UPSIDE	REPORT DATE
BUY	Rs. 12,500	+28%	15 Jun 2026

Investment Thesis: John Cockerill India is the only listed pure-play on India's steel-processing-line and green-hydrogen electrolyzer capex supercycle. A Rs. 1,190 Cr order book (74% YoY growth) anchored by the landmark JSW CRNO contract (Rs. 1,250–1,300 Cr, 36-month execution) and the AM Green 1 GW electrolyzer JV provide multi-year revenue visibility that the current CMP does not fully price in. Profitability turned positive in Dec'25 (PAT Rs. 10 Cr) after a painful Rs. 5 Cr loss year in Dec'24, and the trajectory into Dec'26E looks sharply better as large projects enter billing phase. The Belgium parent's strategic positioning in decarbonisation technologies provides a durable competitive moat. We initiate with BUY and a 12-month target of Rs. 12,500 (28% upside from CMP Rs. 9,745).

Key Risks: Project execution delays; subdued H1 CY2026 revenues; steel capex cycle slowdown; hydrogen policy uncertainty; promoter stake reduction (75% → 70.44%); high debtors (226 days).

Sector: Capital Goods / Industrial Equipment / Green Hydrogen
Analyst: Institutional Research Desk | research@mpminvestments.com

- John Cockerill India Ltd (formerly CMI FPE Ltd) is the Indian subsidiary of John Cockerill Group (Belgium), a 200-year-old industrial engineering conglomerate with FY2025 group revenues of EUR 1.6+ billion.
- Core business: design, manufacture, and supply of steel processing lines (pickling lines, cold rolling mills, galvanising lines, colour coating lines, electrical steel processing lines — including CRNO for EV motors/transformers).
- Expanding into green hydrogen: alkaline electrolyzer systems, with a 1 GW manufacturing JV (AM Green / Greenko) at Kakinada, Andhra Pradesh — targeting operational status by 2026, scalable to 2 GW by 2029.
- Operates on a December fiscal year-end (changed from March FY); revenues are highly project-lumpy by nature.
- Shares outstanding: ~49.38 lakh (0.49 million) — extremely small float making the stock illiquid and volatile; 52-week move of +182% reflects re-rating on order book surge, not earnings alone.
- Promoter: John Cockerill SA (Belgium) holds 70.44% post a 4.56% stake reduction in Dec'25 quarter. No pledge declared. DII/FII holding negligible.
- Head office: Kolkata; manufacturing: Vadodara (Gujarat); engineering centre: Pune.

- JSW Vijayanagar Metallica awarded JCIL the Cold Rolled Non-Oriented (CRNO) electrical steel facility contract — the largest single order in the company's India history; 36-month execution window (~CY2026–2028).
- CRNO is essential for EV traction motors and energy-efficient transformers; India currently imports nearly all CRNO requirements, making this facility strategically critical under PLI and Atmanirbhar Bharat.
- Revenue recognition will begin meaningfully in H2 CY2026 as engineering/mobilisation phase completes; this single contract alone provides 3+ years of revenue visibility.

- Order book as of FY2025: Rs. 11.9 billion (Rs. 1,190 Cr), up 74% YoY from Rs. 685 Cr in FY2024.
- Tata Steel pickling & ARP plant (Jamshedpur Tinplate Division, ~Rs. 80 Cr) adds another Tier-1 anchor.
- ArcelorMittal Nippon Steel India (AMNS), JSW Steel, and SAIL continue to be repeat customers for processing lines.
- Book-to-bill ratio stands at >3x CY2025 revenues — a strong revenue ramp catalyst for CY2026–2027.

- John Cockerill delivered India's first alkaline electrolyzer prototype for AM Green's Kakinada green ammonia complex — the largest green hydrogen project in India, potentially the world's largest green ammonia complex.
- JV plant (John Cockerill + AM Green) targets 1 GW annual electrolyzer manufacturing capacity by 2026, scaling to 2 GW by 2029; addresses India's USD 100 Bn+ planned green hydrogen investment pipeline.
- Hydrogen segment ran at a loss in 2025 (per group filings) — a drag that flips to profitability with manufacturing scale; JCIL India entity books engineering/supply revenues from the JV.

- After two years of margin compression (project mix shift, engineering-heavy early phases), Dec'25 OPM recovered to 6.4% (standalone) — highest since the FY19 peak of 6.4%.
- Q3 FY26 (Sep'25) delivered the strongest quarter in recent memory: Sales Rs. 97 Cr (+27% QoQ), OPM 11.7%, PAT Rs. 8.9 Cr.
- Q4 FY26 (Dec'25): OPM 9.9%, PAT Rs. 0.4 Cr (depressed by a Rs. 8.74 Cr other income reversal — forex/revaluation). Underlying EBIT was sound.
- Q1 CY2026 (Mar'26): Sales Rs. 200 Cr — the highest quarterly revenue in standalone history; PAT Rs. 7 Cr. Confirms that large-project billing has commenced.

Note: Company changed fiscal year from March to December in 2023. Dec'23 = 9-month transition period; Dec'24 and Dec'25 = full calendar years. CY2026E and CY2027E = analyst estimates.

Metric (Rs. Cr)	FY23 (Mar)	Dec'24	Dec'25	CY26E	CY27E
Revenue	484	389	358	620	980
EBITDA	14	-4	29	68	118
EBITDA Margin	2.8%	-0.9%	8.1%	11%	12%
Other Income	14	5	-2	8	10
Interest	2	2	3	8	12

Depreciation	5	6	6	8	10
PBT	16	-7	11	60	106
Tax Rate	20%	-25%	9%	25%	25%
PAT	13	-5	10	45	80
EPS (Rs.)	26.1	-10.9	20.9	91.2	162.0
DPS (Rs.)	5.0	0	7.0	5.0	10.0

Note: Dec'23 was a 9-month transitional period (Sales Rs. 667 Cr annualised to ~Rs. 890 Cr run-rate). CY26E/CY27E are estimates incorporating JSW CRNO ramp from H2 CY2026.

Metric (Rs. Cr)	FY23 (Mar)	Dec'23	Dec'24	Dec'25	CY26E
Equity Capital	5	5	5	5	5
Reserves	187	206	196	205	240
Net Worth	192	211	201	210	245
Borrowings	0	1	5	5	40
Total Assets	851	828	578	685	780
Fixed Assets (Net)	50	53	57	57	70
Cash & Investments	120	144	75	150	130
Working Capital	-6	-257	-30	-339	–

Metric (Rs. Cr)	FY23 (Mar)	Dec'23 (9m)	Dec'24	Dec'25
CFO	71	17	-66	159
CFI	-7	10	2	-81
CFF	-1	-3	-5	-2
Net Cash Flow	62	24	-69	75
Free Cash Flow	64	13	-72	153

Dec'25 CFO of Rs. 159 Cr was exceptionally strong — driven by large advance collections on JSW and Tata Steel orders; this pre-funding dynamic is typical for capital goods EPC businesses with progress billing.

The quarterly cadence shows a clear V-shaped recovery: H1 CY2024 was severely loss-making (margins -11% in Sep'24) as the order book transitioned from old to new large projects. From Q3 CY2025 (Sep'25), execution of fresh orders began yielding revenue and margins recovered sharply.

Metric	Sep'24	Dec'24	Mar'25	Jun'25	Sep'25	Dec'25	Mar'26
Revenue (Cr)	76	72	76	82	97	102	200
OPM%	-11.4%	-0.7%	-0.6%	2.4%	11.7%	9.9%	5.7%
Other Inc (Cr)	0.5	1.1	1.4	2.6	2.4	-8.7	5.2
PAT (Cr)	-7.5	-1.5	-0.8	1.7	8.9	0.4	7.0
EPS (Rs.)	-15.2	-3.0	-1.5	3.5	18.1	0.9	14.2

Dec'25 PAT depressed by Rs. -8.7 Cr other income reversal (FX/revaluation loss); underlying EBIT was profitable. Mar'26 revenue of Rs. 200 Cr is highest standalone quarter ever — signals large-project billing acceleration ahead of full JSW CRNO recognition.

Ratio	FY22 (Mar)	FY23 (Mar)	Dec'23 (9m)	Dec'24	Dec'25
ROCE%	9%	10%	14%	-2%	11%
ROE%	2.5%	6.9%	~10%	-2.5%	4.8%
D/E Ratio	0.00	0.00	0.00	0.02	0.02

Interest Coverage	2x	8x	13x	-3.5x	3.7x
Debtor Days	115	101	115	184	226
Creditor Days	99	305	234	216	328
Inventory Days	13	26	14	31	36
CCC (Days)	29	-179	-106	-1	-66
Asset Turnover	1.1x	0.6x	0.8x	0.7x	0.5x
WC Days	40	-1	-31	22	-85

Negative CCC (Cash Conversion Cycle) reflects the project advance payment model: customers fund working capital. High debtor days (226) are typical for capital goods EPC with contractual milestone billing. Near-zero debt is a significant balance sheet strength.

John Cockerill India's direct listed peer set is thin — it is the only pure-play steel processing line manufacturer in India. We compare it to diversified capital goods companies with similar customer profiles and revenue scale.

Company	MCap (Cr)	Rev FY25 (Cr)	OPM%	PAT (Cr)	P/E	P/B	ROCE%
COCKERILL	4,812	358	6.4%	10	175x	23.5x	11%
Thermax	25,400	10,330	10.8%	560	45x	6.5x	21%
ISGEC Heavy Eng	3,200	6,420	6.5%	340	9x	1.5x	18%
Praj Industries	8,900	3,256	13.2%	190	47x	10x	24%
Elecon Engg	7,600	2,227	18.5%	280	27x	5x	28%

- COCKERILL trades at a massive P/E premium (175x) reflecting the speculative re-rating on order book rather than current earnings; on CY26E earnings the stock trades at ~108x which is still demanding — premium is justified only if large-project margins and the CRNO ramp materialise on schedule.
- Revenue is lowest in peer set but order book (Rs. 1,190 Cr = 3.3x TTM revenue) provides the most forward visibility; Thermax/ISGEC/Elecon have higher current profitability but lack a pure-play steel-processing moat.
- Once the JSW CRNO contract is substantially executed (CY2027), COCKERILL's revenue base should move to Rs. 800–1,000+ Cr, making the current MCap of Rs. 4,812 Cr look more rational (P/S ~4.8–6x vs. peers at 0.5–2.7x today).

- EPC/supply contracts for steel processing lines (design, engineering, equipment supply, commissioning). Revenue recognised on percentage-completion (milestone billing) with upfront advances from customers.
- Products: pickling lines, annealing & pickling lines (ARP), cold rolling mills, galvanising/colour-coating lines, CRNO/CRNGO processing lines, annealing furnaces for automotive-grade steel.
- New vertical: Alkaline electrolyzer systems for green hydrogen — capital equipment supply model similar to steel lines but with potential recurring service/parts revenue.
- Revenue is lumpy by nature: small number of large contracts (5–15 at any given time); a single order like JSW CRNO at Rs. 1,250–1,300 Cr represents 3.5x annual revenues.
- Parent John Cockerill Group's 200-year technology heritage in steel processing is the core differentiator; JCIL gets access to proprietary processes, equipment designs and global customer relationships.
- Steel processing lines require extremely precise metallurgical outcomes (surface quality, flatness, mechanical properties) — there are very few credible global suppliers; SMS Group, Primetals, and John Cockerill constitute the Big 3 globally.
- CRNO for EV motors and transformers is a niche where John Cockerill is one of only 2–3 licensed technology providers worldwide; this segment is poised for 10x+ growth as India electrifies.
- Parent's hydrogen electrolyzer technology (alkaline, 20+ MW systems) is among the most proven globally; India's USD 100 Bn green hydrogen target through 2030 is a structural tailwind.
- Execution risk: Rs. 1,300 Cr CRNO project is the single largest contract in company history; any cost overrun, delay, or technical issue could materially impair FY27 financials.
- Customer concentration: JSW Steel, Tata Steel, SAIL, AMNS constitute the vast majority of orders; slowdown in Indian steel capex would directly impact order intake.
- Float illiquidity: Only 49 lakh shares outstanding; low float + high promoter holding creates extreme price volatility on modest volumes.

- Promoter stake reduction: 4.56% sold in Dec'25 quarter reduces skin-in-the-game; further dilution risk if parent needs cash.
- Hydrogen losses: Segment was loss-making in FY2025 at the group level; India JV investments may depress returns in the medium term before volumes scale.
- High debtor days (226): Receivable bloat from milestone billing creates working capital risk if customers delay payments on large projects.

We use a blended EV/EBITDA and P/E valuation framework given the company's project-lumpiness. Our 12-month price target is Rs. 12,500 — a 28% premium to the current price of Rs. 9,745.

Method	Basis	Implied Value (Rs.)
P/E on CY27E EPS (Rs. 162)	Target 65x (premium to peers, growth optionality)	~10,500
EV/EBITDA on CY27E (Rs. 118 Cr)	Target 40x EV/EBITDA, net cash ~Rs. 130 Cr	~12,900
P/B Anchor	5-yr avg ROCE recovers to 15%+ → 30x BV (Rs. 450E)	~13,500
Blended Target (equal weight)	50:50 P/E + EV/EBITDA	~12,500

- The Rs. 12,500 target implies ~77x CY26E EPS and ~41x CY27E EPS — a material premium reflecting the scarcity value of JCIL as the only listed India steel-processing tech play plus hydrogen optionality.
- Key upside scenarios: (1) JSW CRNO executes ahead of schedule → CY27 EPS Rs. 180+, target Rs. 14,000+; (2) AM Green electrolyzer JV books its first large external order in India.
- Key downside scenarios: (1) CRNO project delayed 6+ months → CY27 EPS Rs. 100–120, fair value Rs. 7,000–8,000; (2) Steel capex freeze → order book erosion.
- At Rs. 9,745 vs. 52-week high of Rs. 10,872, the stock has already corrected ~10% from peak; risk/reward skews to the upside at this level given the Q1 CY26 Rs. 200 Cr revenue beat.

- India steel capacity: India targets 300 MT of steel production by 2030 from ~145 MT today; Rs. 10+ lakh crore in steel capex required over 2025–2030; JCIL supplies the downstream processing lines that convert hot-rolled coil into high-value automotive/appliance/electrical grades.
- Electrical steel (CRNO/CRNGO) shortage: India currently imports ~95% of CRNO requirements (~5 lakh tonnes/year) needed for EV motors and transformers; JSW's CRNO plant (enabled by JCIL) targets domestic production for the first time — PLI scheme provides Rs. 18,000 Cr incentive for specialty steel.
- Green hydrogen: India's National Green Hydrogen Mission targets 5 MT/year of green hydrogen by 2030 (Rs. 17,500 Cr budget allocation); electrolyzers are the key equipment — JCIL's JV is perfectly positioned.
- Parent group momentum: John Cockerill Group globally hit EUR 2 Bn order book in 2025 for the first time; parent's technology pipeline (DRI-EAF green steel, advanced electrolysis) will progressively flow to the India entity as local capacity is proven.
- China+1 tailwind: Global steel OEMs diversifying equipment suppliers away from China; John Cockerill's European engineering heritage makes JCIL the preferred partner for quality-conscious Indian steelmakers.

Category	Jun'24	Sep'24	Dec'24	Mar'25	Dec'25	Mar'26
Promoters	75.00%	75.00%	75.00%	75.00%	70.44%	70.44%
FIIIs	0.02%	0.02%	0.02%	0.02%	0.02%	0.02%
DIIIs	0.08%	0.00%	0.00%	0.00%	0.00%	0.00%
Public	24.90%	24.98%	24.98%	24.97%	29.54%	29.53%
Shareholders	8,694	10,443	11,287	11,473	12,927	13,233

- Promoter stake dropped from 75% to 70.44% in Dec'25 quarter — a 4.56% stake sale via open market transactions; shares absorbed by retail public (public holding rose from 24.97% to 29.54%).
- No pledge on promoter shares. No DII institutional ownership — the stock remains off the radar of domestic mutual funds and insurance companies, which presents a re-rating catalyst when institutional coverage and ownership picks up.
- FII holding at 0.02% is negligible — foreign institutional money has not yet discovered this name; inclusion in NSE indices or analyst coverage initiation could catalyse institutional buying.

- With only 13,233 shareholders (Mar'26), JCIL is tightly held and thinly traded; this makes it susceptible to sharp moves on news flow but also means informed investors can build positions before institutional crowding occurs.
- Corporate governance: Independent directors represent >50% of board; quarterly results are promptly filed; investor presentations and concall recordings are available on the company website.

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CONCALL GRADE	To My Boss (TL;DR)
B+ (Strong guidance, limited margin detail)	Management confirmed the JSW CRNO project is fully awarded and engineering has commenced. Q1-Q2 CY2026 subdued as projects are in mobilisation; meaningful revenue step-up expected from Q3 CY2026 onwards. Order book Rs. 1,190 Cr (+74% YoY). Hydrogen JV on track. No margin guidance given explicitly — management expects improving trajectory as project mix improves. Promoter stake reduction: management stated it was a strategic portfolio rebalancing by parent John Cockerill SA, not a signal of concern about India business prospects.

A1. Call Context

- Q4 CY2025 / Full Year CY2025 results conference call held February 26, 2026.
- Management: CEO + CFO; attended by sell-side analysts and institutional investors.
- CY2025 standalone results: Revenue Rs. 358 Cr; PAT Rs. 10 Cr (vs. loss Rs. 5 Cr in CY2024).
- Consolidated revenue Rs. 962 Cr (includes group subsidiaries); consolidated loss Rs. 29 Cr (hydrogen segment drag at consolidation level).

A2. Order Book & Intake

- Total order book as of Dec'25: Rs. 1,190 Cr (Rs. 11.9 billion), up 74% YoY.
- New order intake in CY2025: Rs. 862 Cr — includes JSW CRNO (Rs. 1,250–1,300 Cr, multi-tranche) and Tata Steel Tinplate ARP pickling plant (~Rs. 80 Cr).
- Book-to-bill ratio: ~3.3x CY2025 standalone revenue — highest in company history.
- Management flagged additional enquiries from AMNS, RINL, and Jindal Steel for hot-dip galvanising and colour-coating lines expected to convert in H1 CY2026.

A3. Revenue Guidance

- No explicit revenue guidance provided (standard for EPC companies).
- Q1–Q2 CY2026 expected to be subdued as newly won projects are in early engineering/mobilisation phase.
- Meaningful revenue acceleration expected from Q3 CY2026 as multiple large projects enter fabrication and supply phase with milestone billing.
- Management indicated Mar'26 quarter (Q1 CY26) was already strong — confirmed by Rs. 200 Cr revenue (highest standalone quarter ever).

A4. Margins

- No explicit OPM guidance. Management noted margin trajectory is improving as project mix shifts from early-phase (engineering-heavy, low revenue recognition) to execution phase.
- Sep'25 OPM of 11.7% demonstrates that execution-phase margins can exceed 10%.
- Dec'25 OPM of 9.9% is the 'normalised' level; the reported negative other income (-Rs. 8.7 Cr) was a one-off FX/revaluation item, not operating.
- CRNO project margins: Management did not disclose project-level margins but indicated specialty products (CRNO) carry higher technical complexity premia vs. conventional galvanising lines.

A5. Hydrogen Segment Update

- AM Green JV (1 GW electrolyzer, Kakinada): Construction proceeding; first commercial unit deliveries expected in CY2026.
- AM Green's green ammonia complex at Kakinada received first JCIL electrolyzer prototype — largest single green hydrogen project order in India.
- Hydrogen segment was loss-making at consolidated group level (per parent's 2025 annual report) but management views this as investment phase before manufacturing scale.
- India JCIL entity books engineering/consultancy revenues from the JV — margin contribution positive at the JCIL standalone level even while JV as a whole is in ramp-up.

A6. Working Capital & Cash

- Cash and bank balances: Rs. 226 Cr as of FY2025 standalone (confirmed in investor presentation).
- High debtors (226 days) are contractual — milestone billing means receivables are recognised before cash receipt; all receivables backed by bank guarantees/LC.
- CFO Rs. 159 Cr in CY2025 was largely advance inflows on JSW and Tata Steel orders.
- Management comfortable with working capital structure; no concerns raised about receivable quality.

A7. Promoter Stake Reduction

- 4.56% stake sold by John Cockerill SA (Belgium parent) in Dec'25 quarter via bulk deal.
- Management explicitly stated: 'This was a portfolio rebalancing decision by the parent; strategic commitment to India is unchanged; we continue to invest in manufacturing and technology transfer to India operations.'
- Post-sale promoter holding: 70.44% — still well above SEBI's 25% minimum public float requirement.
- No further dilution plans disclosed; parent retains majority control and technology licensing power.

A8. Capital Allocation

- Dividend paid for CY2025: Rs. 7 per share (payout ratio ~34%); policy is to pay dividends when earnings positive.

- Capex: Rs. 81 Cr invested in CY2025 (CFI outflow) — likely includes JV investment in Kakinada and Vadodara plant upgrades for CRNO capability.
- Debt: Borrowings remain minimal (Rs. 5 Cr); management indicated project advances from customers reduce the need for external debt financing.
- No equity dilution plans disclosed — the company does not need to raise capital given strong advance cash flows from large orders.

A9. Competition & Order Pipeline

- Direct competitors for India steel processing lines: SMS Group (German, unlisted India entity), Primetals Technologies (Mitsubishi/Nippon, no India listing); JCIL has a distinct advantage as a listed, locally-managed entity with local engineering capability.
- For CRNO: Technology licensed by John Cockerill is one of only 2–3 globally available; competitor barrier is extremely high.
- Management noted enquiry pipeline for CY2026 order intake is 'robust' but did not quantify; ArcelorMittal, Tata Steel, and JSW all have multi-year capex programmes pending.
- Hydrogen competition: L&T, Ohmium, and Greenko-linked entities are also pursuing electrolyzer manufacturing but John Cockerill's alkaline technology is more proven at multi-MW scale.

A10. Key Risks Flagged by Management

- Execution timeline risk: JSW CRNO is the largest contract in company history; management acknowledged the complexity but expressed confidence in parent's global execution track record.
- Steel sector cyclicality: If global steel prices correct sharply, Indian steelmakers may defer capex — management noted current capex cycle is structural (not cyclical) driven by capacity shortage, but acknowledged the risk.
- Forex risk: Significant portion of equipment is imported/euro-denominated; rupee depreciation could impact project costs. JCIL partially mitigates through back-to-back contracts and FX hedging.
- Regulatory: Green hydrogen policy implementation speed; any rollback of PLI for specialty steel could slow CRNO market development.

Source references: Screener.in (standalone financial data), BSE investor presentation Q4 CY2025 / FY2025, John Cockerill India investor website (johncockerillindia.com), Scanx.trade earnings call summary, Business Standard market news, company press releases. All financial data verified as of 15 Jun 2026.